# Corporate Strategy & Stakeholder Analysis Report

## 1. Corporate Strategy Examples

- **Horizontal Integration:** A company acquiring or merging with a direct competitor in the same industry and stage of the supply chain.
  *Example: Disney acquiring 21st Century Fox*

- **Backward Vertical Integration:** A company expanding upstream to control inputs or raw materials previously provided by suppliers.
  *Example: Apple designing its own M-series processors*

- **Forward Vertical Integration:** A company expanding downstream to control distribution channels or direct customer touchpoints.
  *Example: Tesla opening direct-to-consumer showrooms and service centers*

- **Diversification:** A company entering an entirely new product category or market segment outside its core business.
  *Example: Amazon launching Amazon Web Services (AWS).*

## 2. Advantages and Disadvantages Matrix

| Strategy | Major Advantages | Major Disadvantages |
|---|---|---|
| Horizontal Integration | • Economies of Scale: Reduces unit costs by scaling production.<br>• Market Power: Reduces direct competition and increases market share.<br>• Synergies: Combines distribution channels, tech, and marketing pool. | • Regulatory Hurdles: Risk of antitrust scrutiny and monopoly laws.<br>• Culture Clash: High failure rate during corporate post-merger integration.<br>• Diseconomies of Scale: Risk of organizational bureaucracy. |
| Vertical Integration (Backward & Forward) | • Supply Chain Control: Ensures quality, lead times, and raw material access.<br>• Cost Reduction: Eliminates supplier margins and markups.<br>• Protected IP: Keeps proprietary processes and tech fully in-house. | • High Capital Commitment: Demands significant capital expenditure.<br>• Reduced Flexibility: Harder to pivot if technology shifts upstream.<br>• Capacity Mismatch: In-house supply may not perfectly align with demand. |
| Diversification (Related & Unrelated) | • Risk Spreading: Dampens impact of downturns in a single industry.<br>• New Revenue Streams: Taps into higher-growth sectors.<br>• Resource Utilization: | • Management Distraction: Loss of focus on the primary core business.<br>• Lack of Expertise: High learning curve in unfamiliar domains. |

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| | Repurposes core competencies. | • Capital Inefficiency: Risk of cross-subsidizing failing business units. |

## 3. Case Study: Microsoft Corporation

### Key Stakeholders:

- **Internal Stakeholders:** Software engineers, product managers, executive management, support teams.
- **Capital Market Stakeholders:** Institutional investors, retail shareholders, financial analysts.
- **Market Stakeholders:** B2B enterprise clients (Azure/Office 365), B2C consumers (Xbox/Windows), developer ecosystems (GitHub), retail hardware partners.
- **External / Contextual Stakeholders:** Government regulatory bodies (FTC, European Commission), open-source communities, cybersecurity monitoring agencies.

### Growth Strategy Classification:

Microsoft employs a **hybrid growth strategy** combining Related Diversification and Strategic Horizontal Acquisitions:

- **Related Diversification (Organic & Inorganic):** Expanding into high-growth adjacencies like Cloud Infrastructure (Azure) and Artificial Intelligence (OpenAI partnership).
- **Horizontal Integration:** Acquiring major competitors/platforms in adjacent domains—such as LinkedIn (Professional Networking), GitHub (Developer Ecosystem), and Activision Blizzard (Gaming)—to expand user reach and integrate data networks into its ecosystem.

## 4. Stakeholder Analysis: 'ABC Company' BNPL App (Sri Lanka)

Building a Buy-Now-Pay-Later (BNPL) application for the Sri Lankan domestic market requires managing regulatory, financial, and consumer interest groups across power and interest levels:

| Category | Specific Group | Power | Interest | Management Strategy & Focus |
|---|---|---|---|---|
| Primary Financial / Regulatory | Central Bank of Sri Lanka (CBSL) & FIU | High | High | Manage Closely: Mandatory compliance with payment gateway regulations, KYC/AML laws, data residency rules, and consumer lending guidelines. |
| Banking & Credit Infrastructure | Partner Banks & Credit Bureaus (CRIB) | High | Medium | Keep Satisfied: Integration with local banking rails (LANKAPAY), BIN routing, liquidity lines, and default rate reporting. |
| Merchants & Retailers | E-commerce & Offline Retail Partners | High | High | Manage Closely: Onboarding friction, merchant discount rates (MDR), settlement speeds, and POS/e-commerce SDK support. |
| End Consumers | Sri Lankan Shoppers (Gen Z, | Medium | High | Manage Closely & Inform: Clear 0% interest terms, transparent installment |

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|---|---|---|---|---|
| | Millennials, Unbanked) | | | schedules, localized UI (Sinhala/Tamil/English), and responsive customer support. |
| Internal Team | Engineers, Product Managers, Fraud Ops | Low | High | Keep Informed: System stability, real-time risk evaluation engine, security protocols, and release pipelines. |
| Infrastructure Suppliers | Cloud Providers (AWS/GCP), SMS Gateways | Low | Low | Monitor: SLA management, infrastructure uptime, and local OTP verification costs. |